believe that the best results can be obtained by an analysis of the market position of a stock in conjunction with an analysis of its intrinsic value. If this is so, the securities analyst who ventures outside the fixed-value field must qualify as a market analyst as well and be prepared to view each situation from both standpoints at the same time.

It is not within our province to attempt a detailed criticism of the theories and the technique underlying all the different methods of market analysis. We shall confine ourselves to considering the broader lines of reasoning that are involved in the major premises of price forecasting. Even with this sketchy treatment it should be possible to reach some useful conclusions on the perplexing question of the relationship between market analysis and security analysis.

Two Kinds of Market Analysis. A distinction may be made between two kinds of market analysis. The first finds the material for its predictions exclusively in the past action of the stock market. The second considers all sorts of economic factors, *e.g.*, business conditions, general and specific; money rates; the political outlook. (The market's behavior is itself only one of these numerous elements of study.) The underlying theory of the first approach may be summed up in the declaration that "the market is its own best forecaster." The behavior of the market is generally studied by means of charts on which are plotted the movements of individual stocks or of "averages." Those who devote themselves primarily to a study of these price movements are known as "chartists," and their procedure is often called "chart reading."

But it must be pointed out that much present-day market analysis represents a combination of the two kinds described, in the sense that the market's action alone constitutes the predominant but not the exclusive field of study. General economic indications play a subordinate but still significant role. Considerable latitude is therefore left for individual judgment, not only in interpreting the technical indications of the market's action but also in reconciling such indications with outside factors. The "Dow theory," however, which is the best known method of market analysis, limits itself essentially to a study of the market's behavior. Hence we feel justified in dealing separately with chart reading as applied exclusively to stock prices.

Implication of the First Type of Market Analysis. It must be recognized that the vogue of such "technical study" has increased immensely during the past fifteen years. Whereas security analysis suffered a distinct